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Chinese Airlines | Asia Pacific

April 2026: Growth Softened amid Pricing Inflation; LCC and Int'l the Bright Spots

Key Takeaways

- Domestic RPK growth for the Big 3 decelerated to 0–3% YoY in April 2026, down from 4–12% in 1Q26, which we attribute in part to pricing inflation.
- International RPK growth remained healthy at 11–14% YoY for the Big 3 in April, despite a modest softening from 17–18% in 1Q26.
- Remarkable outperformance from SPA: 18% YoY domestic RPK growth (22% in 1Q26) and international RPK growth of 18% YoY in Apr vs. 9% in 1Q26.
- SPA, CA and CEA saw 5-9ppt PLF hike on int'l routes – a positive surprise. We think China is attracting int'l transit traffic and gaining direct routes share.
- CA continued to outperform in Big 3 in both RPK growth and PLF improvement YoY, while CSA relatively underperformed.

Domestic: Growth softened MoM; CA continued to lead among the Big 3: SPA again delivered the strongest domestic RPK growth among peers at +18.4% YoY, while CA reported +2.7%, outperforming CEA (+0.5%) and CSA (-0.7%). CA has also achieved a 2.2ppt YoY PLF hike, to 86.0%, vs. +1.2ppt for CEA and a 0.9ppt decline for CSA. SPA's PLF continued to trend high with 4.2ppt YoY improvement to 93.0%.

International – resilient demand despite cost headwinds: International RPK grew 17.8% YoY for SPA and +11-14% for the Big 3. We see meaningful YoY PLF improvement for SPA, CA and CEA (+5-9ppt), while CSA's int'l PLF was slightly down by 0.3ppt.

Cargo demand gradually improved post-CNY: International RFTKs for CEA, CSA, and CA were +19%, +2.7%, and +4.2% YoY in Apr-26, respectively.

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See also:

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Exhibit 1: Chinese Airlines: Traffic Data – YoY Comparison

Apr-26	SPA	CA	CEA	CSA
Pax				
RPK YoY%	▲18.5%	▲5.8%	▲3.8%	▲2.8%
Domestic RPK YoY%	▲18.4%	▲2.7%	▲0.5%	▼-0.7%
International RPK YoY%	▲17.8%	▲13.8%	▲11.0%	▲12.2%
Regional RPK YoY%	▲55.1%	▲3.1%	▼-1.2%	▲1.7%
ASK YoY%				
ASK YoY%	▲12.6%	▲0.5%	▲0.8%	▲3.7%
Domestic ASK YoY%	▲13.1%	▼0.0%	▼-0.9%	▲0.3%
International ASK YoY%	▲9.8%	▲2.4%	▲4.7%	▲12.5%
Regional ASK YoY%	▲50.2%	▼-6.1%	▼-5.3%	▼-1.5%
PLF				
PLF	92.7%	85.5%	87.9%	84.9%
PLF YoY Diff	▲4.6ppt	▲4.2ppt	▲2.5ppt	▼-0.7ppt
Domestic PLF	93.0%	86.0%	87.4%	85.0%
Domestic PLF YoY Diff	▲4.2ppt	▲2.2ppt	▲1.2ppt	▼-0.9ppt
International PLF	91.6%	84.8%	88.8%	84.6%
International PLF YoY Diff	▲6.2ppt	▲8.6ppt	▲5.1ppt	▼-0.3ppt
Regional PLF	90.2%	81.9%	87.1%	82.9%
Regional PLF YoY Diff	▲2.8ppt	▲7.4ppt	▲3.6ppt	▲2.6ppt
Cargo				
RFTK YoY%	▲28.5%	▲4.2%	▲19.1%	▲2.7%
AFTK YoY%	▲181.6%	▼-3.6%	▲1.7%	▼-2.4%
FLF	20.9%	41.8%	42.9%	54.0%
FLF YoY Diff	▼-24.8ppt	▲3.1ppt	▲6.3ppt	▲2.7ppt

YTD-26	SPA	CA	CEA	CSA
Pax				
RPK YoY%	▲18.9%	▲13.7%	▲9.8%	▲7.8%
Domestic RPK YoY%	▲21.7%	▲12.0%	▲6.0%	▲4.4%
International RPK YoY%	▲9.1%	▲17.8%	▲17.9%	▲17.3%
Regional RPK YoY%	▲43.4%	▲18.4%	▲9.0%	▲13.0%
ASK YoY%				
ASK YoY%	▲16.3%	▲7.6%	▲6.3%	▲8.1%
Domestic ASK YoY%	▲19.9%	▲7.4%	▲4.1%	▲5.3%
International ASK YoY%	▲4.5%	▲7.7%	▲10.8%	▲16.1%
Regional ASK YoY%	▲41.5%	▲10.9%	▲3.9%	▲6.8%
PLF				
PLF	92.7%	84.8%	86.7%	85.1%
PLF YoY Diff	▲2.1ppt	▲4.6ppt	▲2.7ppt	▼-0.3ppt
Domestic PLF	93.3%	85.6%	87.3%	85.4%
Domestic PLF YoY Diff	▲1.4ppt	▲3.5ppt	▲1.5ppt	▼-0.7ppt
International PLF	90.4%	83.6%	85.8%	84.6%
International PLF YoY Diff	▲3.8ppt	▲7.2ppt	▲5.2ppt	▲0.9ppt
Regional PLF	91.5%	77.0%	84.8%	80.3%
Regional PLF YoY Diff	▲1.2ppt	▲4.9ppt	▲4.0ppt	▲4.4ppt
Cargo				
RFTK YoY%	▲20.0%	▲6.6%	▲16.2%	▲7.4%
AFTK YoY%	▲187.9%	▲3.6%	▲3.0%	▲5.3%
FLF	20.2%	34.4%	38.2%	50.4%
FLF YoY Diff	▼-28.2ppt	▲1.0ppt	▲4.3ppt	▲1.0ppt

Note: Traffic for Air China includes traffic consolidated from Shandong Airlines from March 2023, and YoY changes have been restated as reported by the company to reflect the effects. Source: Company data, Morgan Stanley Research. ASK = available seat kilometers; AFTK = available freight tonne kilometers; RFTK = revenue freight tonne km, FLF = freight load factor, RPK = revenue passenger kilometers, PLF = passenger load factor. Note: For Air China, freight data for previous periods no longer includes Air China Cargo's freight data for all freighters and has been adjusted to a comparable basis.

Exhibit 2: Chinese Airlines: Traffic Data – Comparison vs. 2019

Mar-26	SPA	CA	CEA	CSA
Pax				
RPK Growth vs. 2019 (%)	▲ 65.2%	▲ 43.6%	▲ 36.5%	▲ 23.9%
Domestic RPK vs. 2019 (%)	▲ 99.7%	▲ 67.3%	▲ 35.2%	▲ 28.7%
International RPK vs. 2019 (%)	▲ 10.7%	▲ 11.6%	▲ 42.1%	▲ 15.1%
Regional RPK vs. 2019 (%)	▼ -65.7%	▼ -6.2%	▼ -1.4%	▼ -26.6%
ASK Growth vs. 2019 (%)				
Domestic ASK vs. 2019 (%)	▲ 100.6%	▲ 60.2%	▲ 29.5%	▲ 25.7%
International ASK vs. 2019 (%)	▲ 9.9%	▼ -1.3%	▲ 25.4%	▲ 9.6%
Regional ASK vs. 2019 (%)	▼ -65.1%	▼ -2.0%	▼ -3.1%	▼ -29.8%
PLF				
PLF vs. 2019	▲ 0.1ppt	▲ 5.6ppt	▲ 6.0ppt	▲ 2.6ppt
Domestic PLF	92.7%	85.5%	87.8%	85.0%
Domestic PLF vs. 2019 (Diff)	▼ -0.4ppt	▲ 3.6ppt	▲ 3.7ppt	▲ 2.0ppt
International PLF	91.6%	89.0%	90.6%	88.0%
International PLF vs. 2019 (Diff)	▲ 0.7ppt	▲ 10.3ppt	▲ 10.6ppt	▲ 4.2ppt
Regional PLF	91.1%	77.8%	85.7%	82.1%
Regional PLF vs. 2019 (Diff)	▼ -1.7ppt	▼ -3.6ppt	▲ 1.6ppt	▲ 3.6ppt
Cargo				
RFTK Growth vs. 2019 (%)	▲ 88.2%	▼ -3.1%	▲ 55.2%	▲ 31.7%
AFTK Growth vs. 2019 (%)	▲ 354.8%	▲ 18.2%	▲ 29.7%	▲ 27.2%
FLF	20.1%	35.4%	38.7%	54.0%
FLF vs. 2019 (Diff)	▼ -28.4ppt	▼ -7.8ppt	▲ 6.4ppt	▲ 1.8ppt

YTD-26	SPA	CA	CEA	CSA
Pax				
RPK Growth vs. 2019 (%)	▲ 67.4%	▲ 40.9%	▲ 32.1%	▲ 24.9%
Domestic RPK vs. 2019 (%)	▲ 99.9%	▲ 64.0%	▲ 32.7%	▲ 30.3%
International RPK vs. 2019 (%)	▲ 15.3%	▲ 8.4%	▲ 33.1%	▲ 15.0%
Regional RPK vs. 2019 (%)	▼ -68.0%	▼ -5.8%	▲ 1.8%	▼ -25.0%
ASK Growth vs. 2019 (%)				
Domestic ASK vs. 2019 (%)	▲ 98.5%	▲ 57.9%	▲ 26.5%	▲ 26.0%
International ASK vs. 2019 (%)	▲ 16.2%	▲ 3.5%	▲ 26.5%	▲ 14.0%
Regional ASK vs. 2019 (%)	▼ -67.9%	▲ 0.2%	▼ -1.4%	▼ -28.8%
PLF				
PLF vs. 2019	▲ 0.5ppt	▲ 3.4ppt	▲ 4.1ppt	▲ 2.2ppt
Domestic PLF	93.3%	85.6%	87.3%	85.4%
Domestic PLF vs. 2019 (Diff)	▲ 0.6ppt	▲ 3.2ppt	▲ 4.1ppt	▲ 2.8ppt
International PLF	90.4%	83.6%	85.8%	84.6%
International PLF vs. 2019 (Diff)	▼ -0.8ppt	▲ 3.8ppt	▲ 4.3ppt	▲ 0.7ppt
Regional PLF	91.5%	77.0%	84.8%	80.3%
Regional PLF vs. 2019 (Diff)	▼ -0.5ppt	▼ -4.9ppt	▲ 2.7ppt	▲ 4.1ppt
Cargo				
RFTK Growth vs. 2019 (%)	▲ 106.5%	▲ 9.2%	▲ 75.2%	▲ 49.2%
AFTK Growth vs. 2019 (%)	▲ 353.7%	▲ 21.8%	▲ 27.4%	▲ 34.0%
FLF	20.2%	34.4%	38.2%	50.4%
FLF vs. 2019 (Diff)	▼ -24.2ppt	▼ -4.0ppt	▲ 10.4ppt	▲ 5.2ppt

Note: Traffic for Air China includes traffic consolidated from Shandong Airlines from March 2023, which has exaggerated the changes versus 2019 levels. Source: Company data, Morgan Stanley Research. ASK = available seat kilometers; AFTK = available freight tonne kilometers; RFTK = revenue freight tonne km, FLF = freight load factor; RPK = revenue passenger kilometers, PLF = passenger load factor. Note: For Air China, freight data for previous periods no longer includes Air China Cargo's freight data for all freighters and has been adjusted to a comparable basis.

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INDUSTRY COVERAGE: Hong Kong/China Transportation & Infrastructure

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/15/2026)
Qianlei Fan, CFA		
Air China Limited (601111.SS)	O (02/09/2026)	Rmb6.74
Air China Limited (0753.HK)	O (01/13/2025)	HK\$4.80
Beijing-Shanghai High-Speed Railway (601816.SS)	O (07/03/2020)	Rmb4.96
BOC Aviation (2588.HK)	O (03/21/2022)	HK\$77.65
Cathay Pacific Airways (0293.HK)		HK\$12.16
China Eastern Airlines (600115.SS)	O (02/09/2026)	Rmb4.13
China Eastern Airlines (0670.HK)	O (01/13/2025)	HK\$3.70
China Merchants Energy Shipping Co. Ltd. (601872.SS)	O (03/10/2020)	Rmb17.44
China Southern Airlines (600029.SS)	O (02/09/2026)	Rmb5.37
China Southern Airlines (1055.HK)	O (01/13/2025)	HK\$3.93
COSCO SHIPPING Energy Transportation (1138.HK)	O (01/12/2023)	HK\$18.35
COSCO SHIPPING Energy Transportation (600026.SS)	O (11/25/2025)	Rmb21.87
COSCO Shipping Holdings Ltd (601919.SS)	U (07/15/2024)	Rmb14.17
COSCO Shipping Holdings Ltd (1919.HK)	U (07/15/2024)	HK\$14.83
J&T Global Express Ltd (1519.HK)	E (08/21/2024)	HK\$9.24
Orient Overseas (International) Ltd (0316.HK)	U (07/15/2024)	HK\$141.20
Pacific Basin Shipping (2343.HK)	E (07/04/2025)	HK\$3.44
S.F. Holding Co Ltd (002352.SZ)	E (09/01/2025)	Rmb35.85
SITC International Holdings Company (1308.HK)	E (01/12/2023)	HK\$34.48

Spring Airlines (601021.SS)	O (08/31/2015)	Rmb45.26
TravelSky Technology (0696.HK)	U (01/13/2025)	HK\$9.65
ZTO Express (ZTO.N)	O (11/21/2016)	US\$23.74
Tenny Song		
Beijing Capital Int'l Airport (0694.HK)	U (09/23/2025)	HK\$1.84
Guangzhou Baiyun Int'l Airport (600004.SS)	E (09/23/2025)	Rmb8.33
JD Logistics, Inc. (2618.HK)	O (03/09/2026)	HK\$14.28
Shanghai International Airport (600009.SS)	E (09/23/2025)	Rmb26.07
STO Express Co Ltd (002468.SZ)	E (10/22/2024)	Rmb15.53
YTO Express Group Co Ltd (600233.SS)	O (09/11/2025)	Rmb20.28
YUNDA Holding Co Ltd (002120.SZ)	U (07/29/2020)	Rmb7.50

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.